Global Political Economy

International Economics Lecture 1

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Introduction to the Course

- Welcome to GPE!
- Syllabus covers lecture series
- Two halves of your lecture series
- 1st half: Taught by J. Fynn-Paul
  - International Economics
- 2nd half: taught by Crystal Ennis
  - Global Political Economy
- Tutorial Guidelines
- Tutorials spread amongst both halves of the course (2/2)

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Introduction to the Course

- Tutorials are 40%
- Mid-term covers 1st half
- 30% of grade (because of e-prospectus)
- Final covers 2nd half (with some linkages)
- 30% of grade
- The halves of the course will be taught separately, but, they are of course related

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International Economics

- Lectures 1-6 will expand your knowledge of ‘Principles of Economics’
- Lectures 7-12 will expand on ‘Foundations of Political Economy’

- The topic of the 1st half is International Economics
- IE will help you to understand the mechanical foundations, on which GPE thinkers and policymakers base their opinions and theories
- You have to know how the mechanics work before you can form critical opinions of them

- What are the main topics of study in international economics?

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- 1st: **International trade**
- That is, trade of goods and services across borders
- Trade that involves dealing with more than one sovereign government
- Perhaps more than one monetary regime, and/or set of laws
- This can lead to any number of ‘complications’ as deals are made
  - Trade regulation affects markets
  - But Int’l trade can also be extremely lucrative
  - And, arguably, it can help people in both countries
  - Though, of course, it might hinder some people in one or both countries

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International Economics

- 2nd: **International Production**
- This is the production of goods and services across borders
- The rumour is, your smartphone was probably made in 40 different countries
- Many manufactured goods now are produced from highly international networks
- How does this get regulated? Who creates enough stability for this to remain profitable

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- 3rd: **International Financial Systems**
- Foreign exchange
- Every time you move into another currency area, you are subject to additional risk
- This affects currency values: is the yen up or down vs. the dollar?
- Also, investment can be given or withdrawn, helping a small economy to boom, or… leaving it in shambles
- And FDI (Foreign Direct Investment) is covered here as well

- 4th: **International Development**: how do capital flows impact economic development, especially in 'developing' countries: this is more handled in GPE even though there are chapters in our book (Reinert)

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International Trade

- Does this impact me?
- You might have heard of the notion of… globalization
- When did globalization start?
- 1990s onwards?
- WTO: Global Trade gets teeth
- But globalization arguably started in the 1870s-1914
  - First ‘golden age’ of international capital
  - Aka heyday of the British empire
  - Global economy united under the **pound** and the **gold standard**

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International Trade

- Before 1945 however politicians tend to act as though the global economy was a ‘zero sum game’
- This meant, if I didn’t grab land and use it for resources and markets, then someone else would
- This economic model fueled the political model of **colonialism**
- This economic model was based on the old theory of **mercantilism**

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Mercantilism

- **Metropole**: centre of production
- Manufactured goods are as a rule far more profitable to produce – contain more **value added**, than raw materials
- So, mercantilists want production to be ‘at home’
- How to get raw materials for production – e.g. cotton for textile mills?
- You could buy them on a competitive international market
- Or, you could take colonies, and extract raw materials a **monopsonistic** prices
- (Monopsony= only one buyer)

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Mercantilism

- You then produce goods at home, and sell at home
- But also use the colonies (e.g. India), as a forced market, where you have a **monopoly** as a seller
- Meanwhile, other ‘powers’ are jockeying to gain the most colonies, and most raw materials, and markets, so that they can gain the most value added
- Most wealth = most military power = most economic power = etc.
- But during the 1930s, and 1940s, the Anglo-American economists began to push a new idea

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Ricardian Trade: The Non-Zero-Sum Game

- The idea was that, instead of competing amongst each other for colonies and captive markets
- Why not create a new international order based on **Ricardo**'s old idea, that trade, via **comparative advantage**, would enrich everyone?
- International trade would create more wealth than would **autarky**, even with colonies
- This would create incentives to work together, rather than compete
- It would also create development
- And it would cement the world into one big happy capitalist-democratic family
- And they pulled it off when during the war they created the **Bretton Woods System**

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Ricardian Trade as Non-Zero-Sum Game

- This was extremely radical: and (I think ironically) many still view it cynically—even though it was the main cause of the end of colonialism (!)
- But, to have the major powers create a whole economic system based on accountability, democracy, good government, trust, rule of law, and on human rights and dignity…
- This was the dream; and in many ways it has delivered, and continues to lift people out of poverty—(at least until Trump's trade war of 2025…)
- Before Covid, by 2030, no extreme poverty
- So people bought into it: it 'won' by selling not only a promise, but real prosperity for the 'middle classes' and those who aspired to be like them

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Bretton Woods System

- Goal: To Foster World Trade and Democracy
- United Nations
- IMF
- World Bank
- GATT/WTO
- OECD
- Global currency union under the USD (until 1971)
- Increasing cooperation
- Free movement of capital, goods, and people across borders, with minimal restrictions or tariffs

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Globalization: Rise and Decline

- Thus, Globalization has been happening since before WWI (with the UK as hegemon)
- And, since WWII (with the US as hegemon)
- It was believed in 1989 that Russia would join the global order
  - Fukuyama's End of History
- And that since 1997, that China would also join this global order
- And we would be one big democratic-capitalist economy
- Since the 1980s, world leaders acted as though globalization was inevitable
- Until ca. 2015, the world operated as though BW would last forever.

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Globalization

- 2008 Saw a resurgence of Keynesianism, and a pushback against the Neoliberal, globalist consensus that had been ascendant since Reagan, Thatcher, and the creation of the EU. This pushback included from the Left (i.e. Sanders) and Right (i.e. Trump, other populists in the EU). Covid pushed this further, as leaders began worrying about food/microchip security, etc.
- What are anti-globalists' economic concerns?
  - Immigrants
    - Depresses wages
  - Threat of companies moving overseas
    - Worsen working conditions
    - Help union busting
    - Reduce workers' bargaining power
  - Foreign investment
    - Free flow of mega capital, i.e. from China and Russia
    - Increase housing prices in cities
    - Increased debt levels
  - In general:
    - Reduce standards of living
    - Increase instability/quality of life

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Globalization and International Trade

- But international economists will say: pish
- International trade enriches everyone
- It creates more wealth than autarky
- Look at the lower price of goods
- People now can buy shoes, shirts, appliances, phones, for far less than they could in the 1960s and 70s
- In those times, many children still went to school without shoes, parents did not all have refrigerators, etc.
- Quality of life has gone way up
- Global Poverty is rapidly decreasing: it is at an all-time low
- This is despite huge population increases
- And it corresponds with the ‘golden age’ of globalization and Bretton Woods

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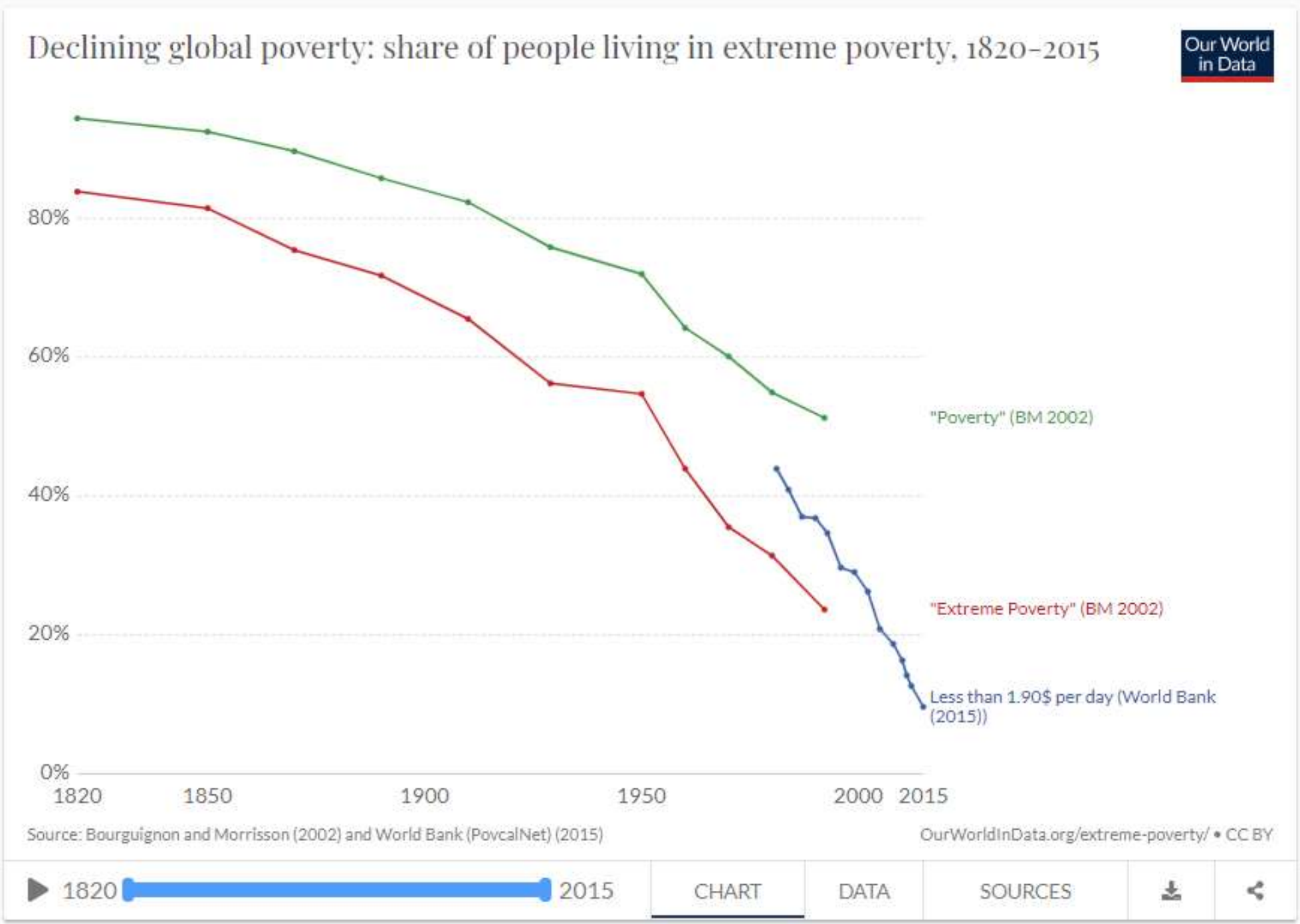

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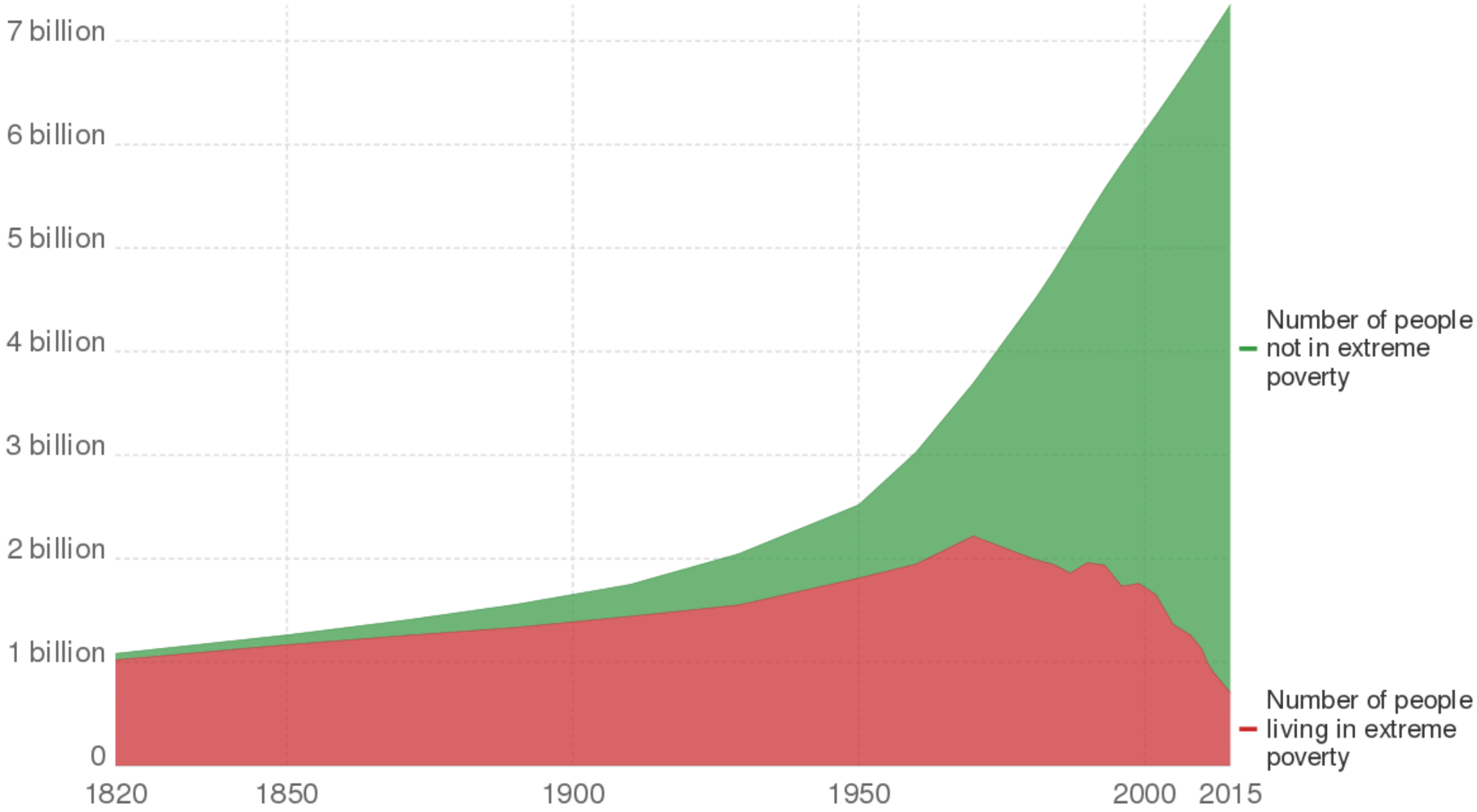
World population living in extreme poverty, 1820-2015

Extreme poverty is defined as living at a consumption (or income) level below 1.90 "international $" per day. International $ are adjusted for price differences between countries and for price changes over time (inflation).



Source: World Poverty in absolute numbers - OWID based on World Bank (2016) and Bourguignon and Morrisson (2002)

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So who is right?

- Reality is complex
- International trade indubitably creates more wealth than autarky
- It raises living standards
- But, raised living standards also depend upon a social safety net
- Governments have to intervene in markets, to reduce exploitation of the poor, or else capitalism will look like c19th
- In other words, capitalism only works well if it has some government intervention, i.e., ‘socialist’ elements (even in the US, the New Deal created a vast safety net compared with pre-New Deal)

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International Trade

- In your book, Reinert attempts to make the case in favor of international trade for the most part
- Most economists believe that *in the aggregate*, international trade is better than not
- (This is why they freak out so much at Trump's tariffs, which we will discuss on several occasions)
- (Q: What do tariffs do?)
- We will in the first half of GPE, focus on the case for trade, looking at it critically, but assuming that this is better than autarky

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International Trade: Absolute Advantage

- In order to understand the case for international trade, one needs to look at international trade theory
- We begin with the theory of **Absolute Advantage**
- It is thankfully a straightforward concept, explained in Chapter 2.
- It just means that one country can produce a product more cheaply than another
- Thus, that country will export to another country, if it is allowed to.
- For example, Vietnam could in 1990 produce rice more cheaply than Japan
- Thus, it began to export rice to Japan

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International Trade

- Now, some in Vietnam went hungry, yet the country exported rice. Why?
- Because, the argument is that the extra currency from rice exports could be used to improve wages in Vietnam
- Also, be used to create more industry and infrastructure
- And thus initiate a self-reinforcing cycle of development
- In this way Vietnam entered the global economy- from being poor and backward with low wages and little opportunity to become middle class, it began to develop
- **Gains from trade**: cause countries to initiate trading partnerships

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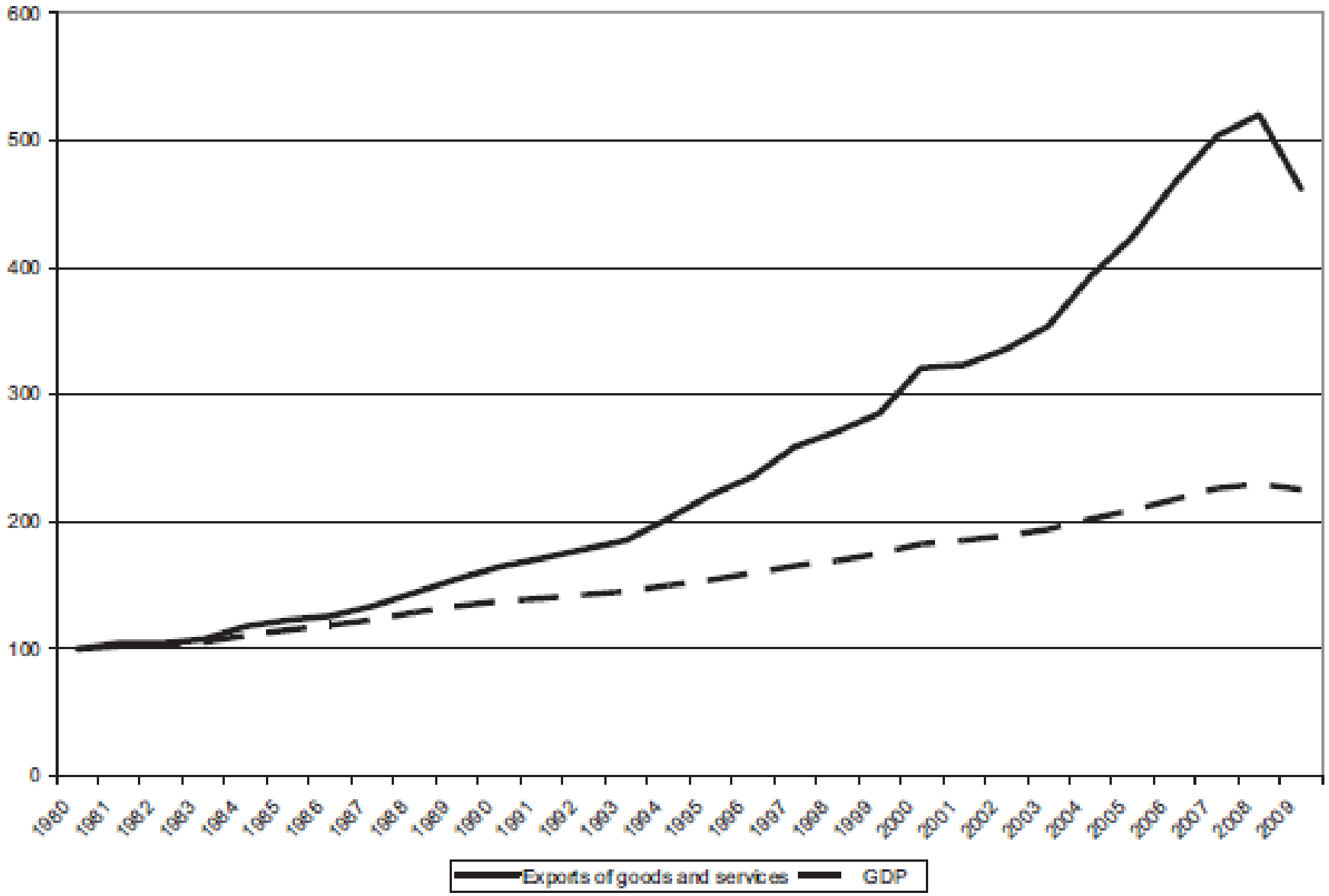

Figure 1.1. Gross Domestic Product and Exports in the World Economy, 1980 to 2009 (1980 = 100).
Source: World Bank, World Development Indicators and author calculations

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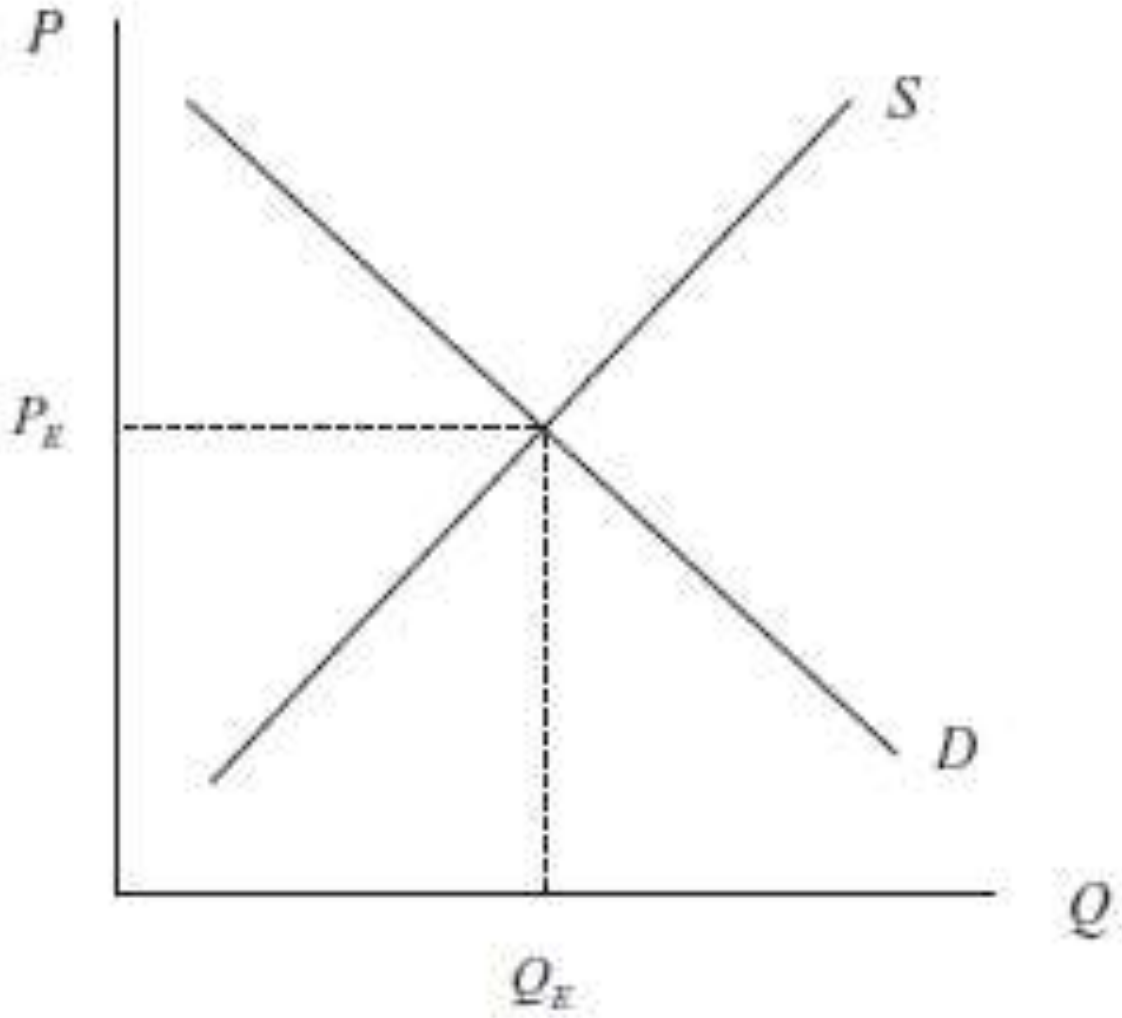

Figure 2.1. A Domestic Rice Market

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S/D Basics Refresher

- Supply curve:
- **Changes in Quantity Supplied**, are indicated by movements along the supply curve
- Indicates that as price increases, firms supply more
- **Changes in Supply** = shifts in supply curve
- Can happen from:
  - Changes in input or factor prices
    - Wages, raw materials
  - Technology
    - Can enable more output from the same factor inputs (i.e. better fertilizer)
    - At every price

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S/D Basics Refresher

- Demand curve
- Changes in Quantity Demanded = movements along the demand curve
- As price goes down, people demand more
- Changes in Demand = shifts in demand curve
- Preferences can shift demand at a given price
- Changes in income can also shift demand at a given price
- (I.e., as countries become richer, less desirable animal parts are made into dog food, but in poor countries they are consumed by people)

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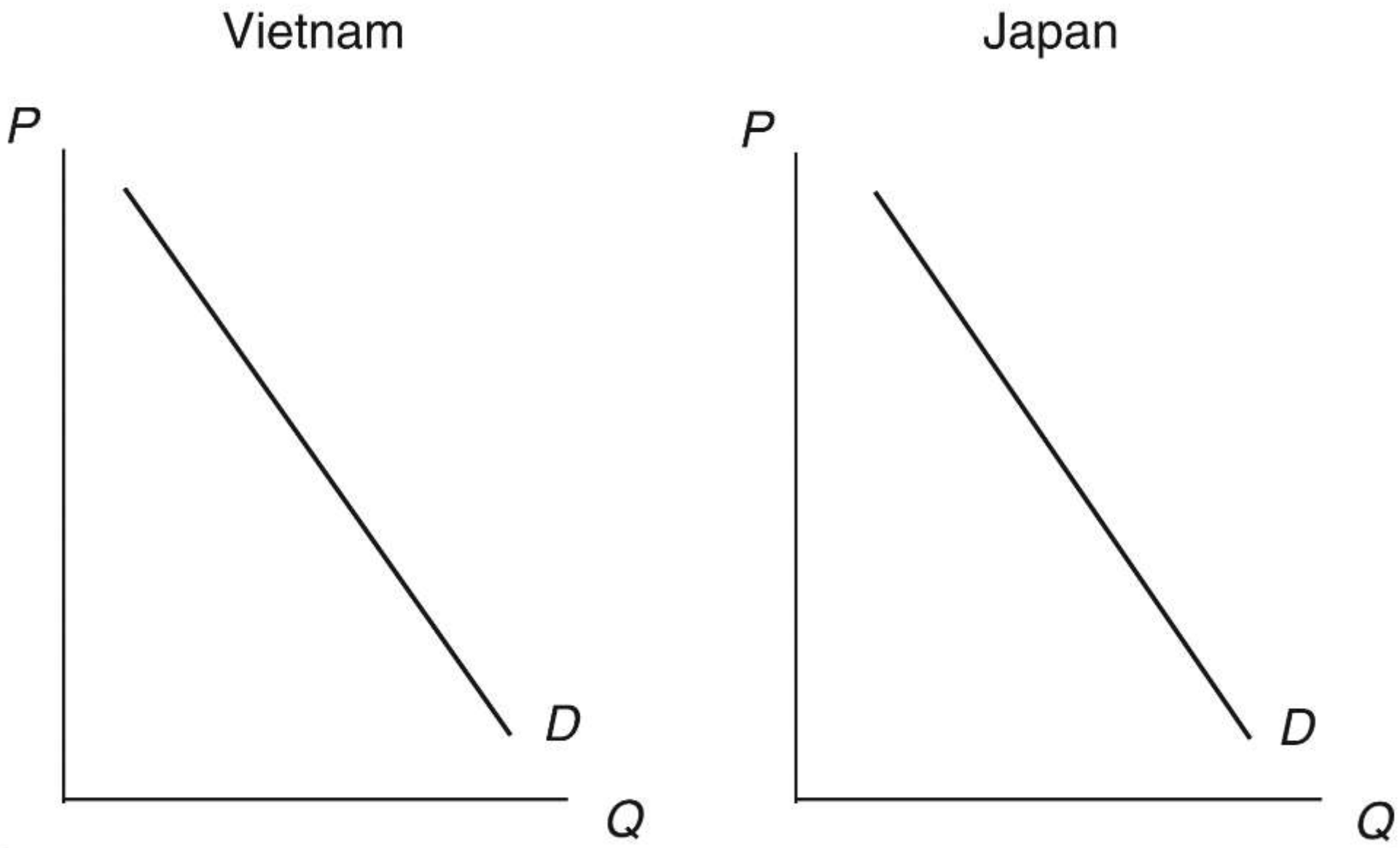

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International Rice Market

- Assume the same demand conditions
- Trade often arises due to differences in supply rather than demand conditions
- We assume that supply conditions are different
- Supply curve for Vietnam is farther to the right than supply curve for Japan
- This means that at every price, Vietnam supplies more rice than Japan
- Why is S curve further right?
  - Technology superior?
  - Some Inputs (land, labor, capital) cheaper…

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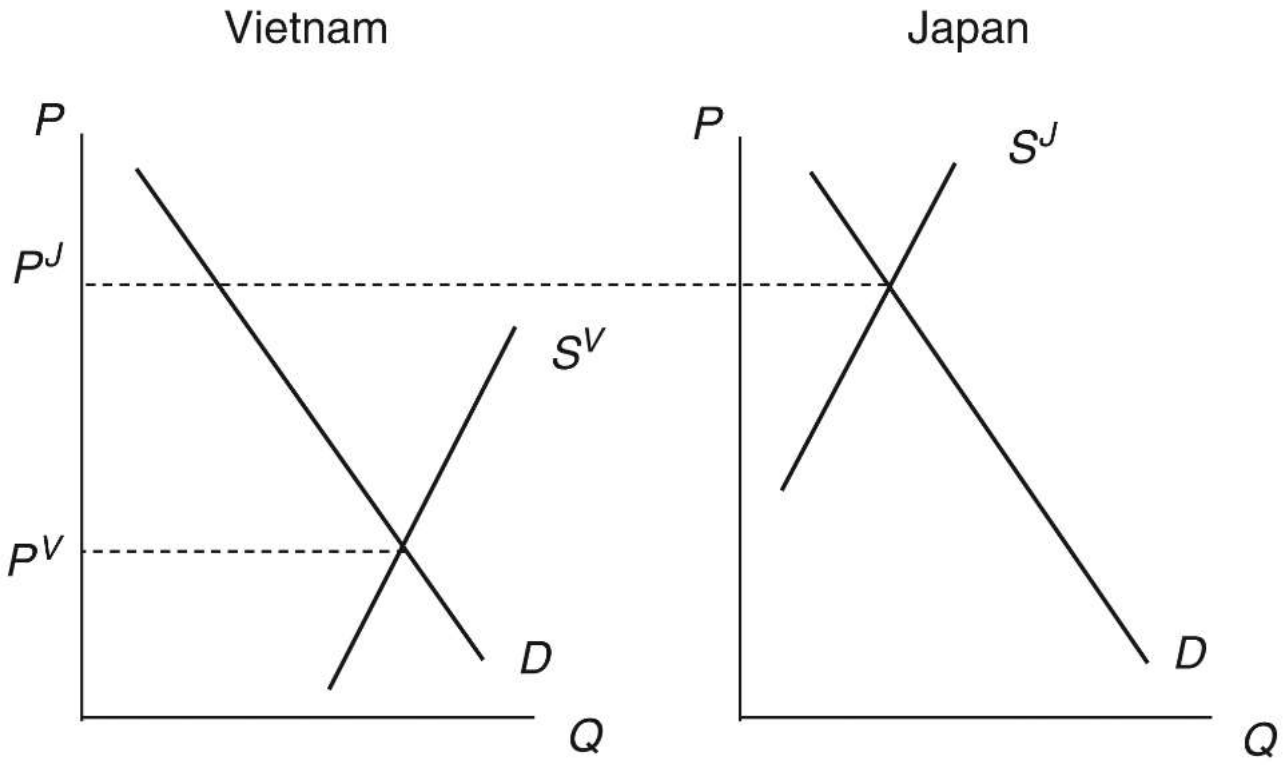

Figure 2.3 depicts a situation in which the autarky price of rice is lower in Vietnam than in Japan. That is:

$$P^V < P^J \tag{2.1}$$

implies a potential pattern of trade. How does this apply to our example? If the two countries move out of autarky and begin to trade, the world price of rice P^W will be somewhere between the two autarky prices, as follows:

$$P^V < P^W < P^J \tag{2.2}$$

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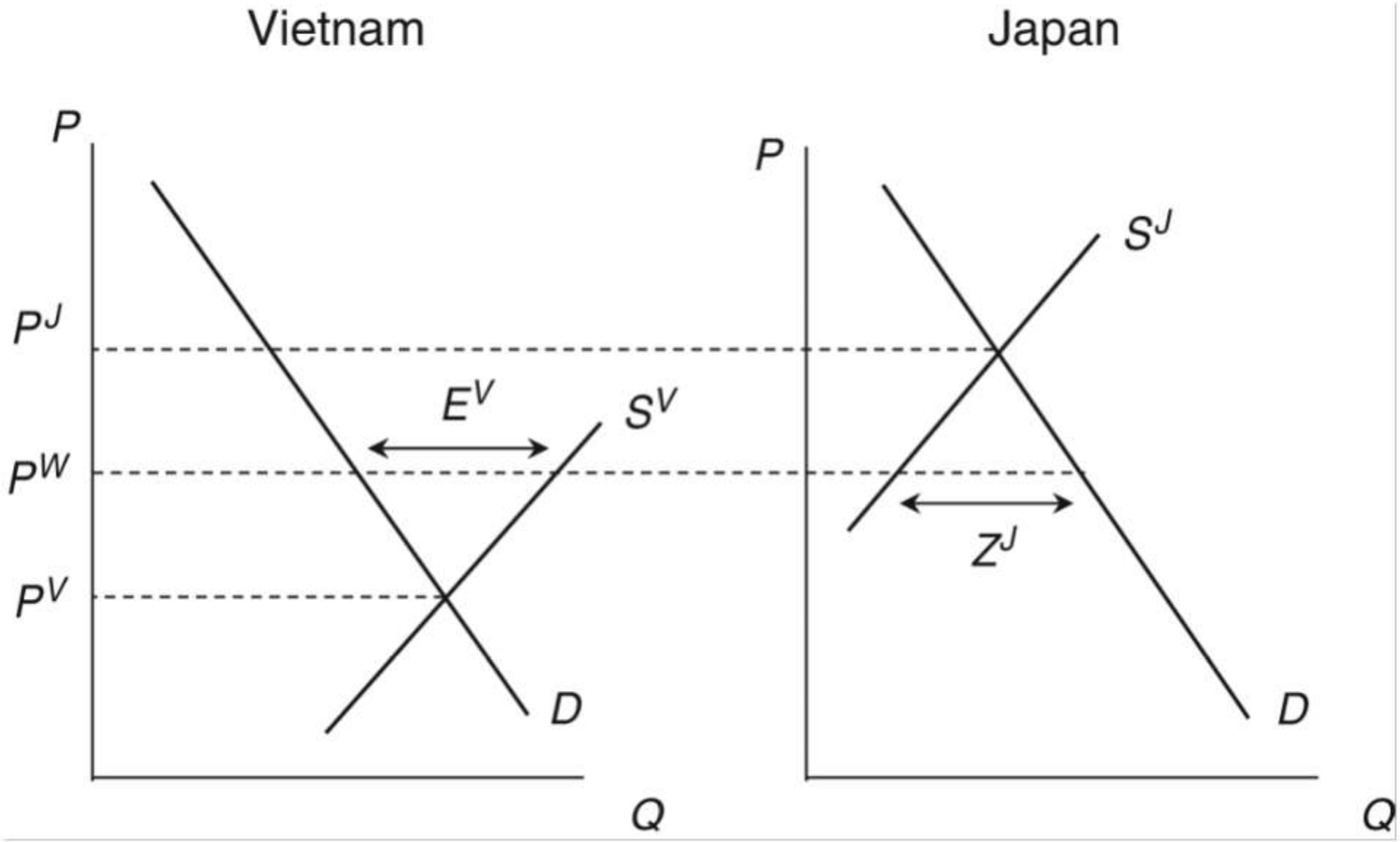

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International Trade

- In the above graph, E = export
- Z = import
- You can see that prices in both countries will move towards an average, a world level
- This will cause demand to fall in Vietnam, but also more to be supplied
- This will cause less to be supplied in Japan, but more to be demanded
- Opportunities for trade will open up

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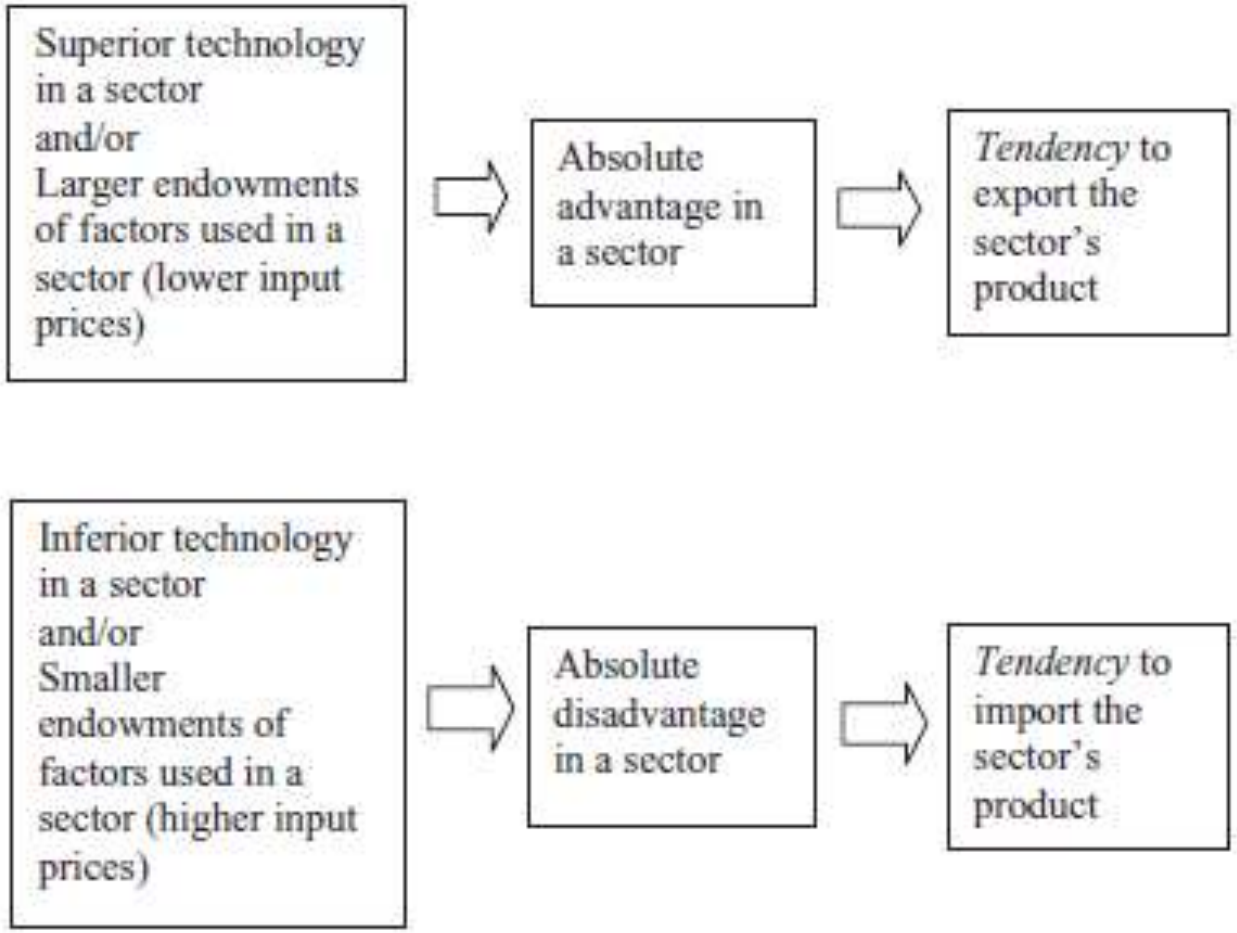

Figure 2.5. A Schematic View of Absolute Advantage

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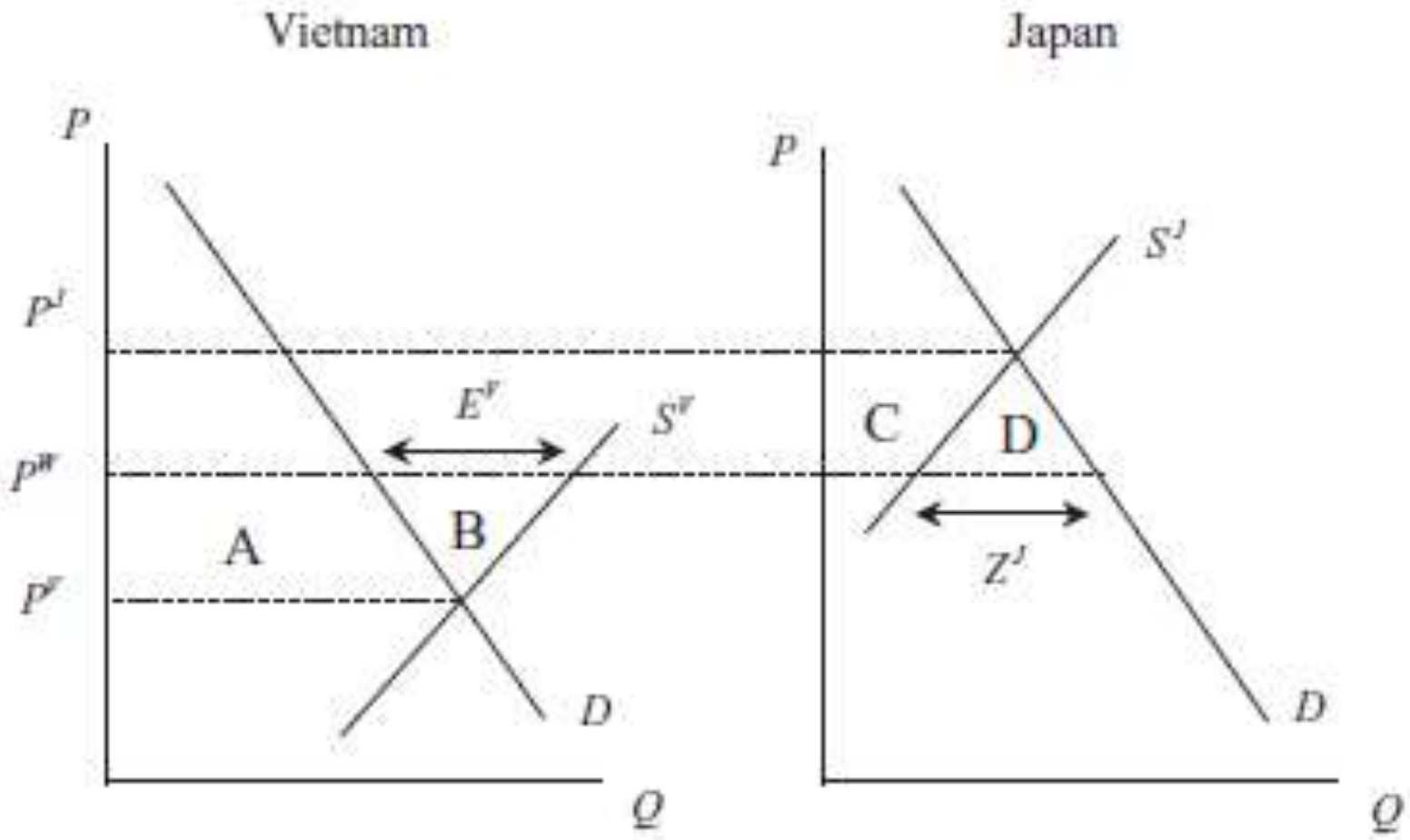

Figure 2.6. Gains from Trade in the Rice Market

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Gains from Trade

- Increased Producer Surplus in Vietnam
  - A + B
- But consumers have lost area A
  - Overall, gains to economy outweigh negatives
- Increased Consumer Surplus in Japan
  - C + D
- Producers have lost area C
  - Again, overall gains outweigh losses
- Ergo, the argument that trade can be mutually beneficial

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Comparative Advantage

- **Absolute Advantage**, then, is when a country produces the same product more cheaply
- It is a **one-product** model
- This makes it want to export, because it can gain profits from exporting
- But **Comparative Advantage** assumes a model with **two products**
- This is the logical next step, because, why would a country want to accept imports (and see its money flow away), if it could not reciprocate, and export things to other countries as well
- Only with balanced imports and exports, recall, can a country sustain international trade - maintain a healthy **Balance of Payments**

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Comparative Advantage

- This is Explained in Chapter 3
- To measure this, we now talk about gains from trade when you have **more than one product**
- If you recall from Principles of Economics, the argument is that two countries can gain from trade, even if one country is worse at making both things
- So we will re-introduce PPFs: Production Possibility Frontiers
- This indicates the tradeoff that countries must make in order to produce one unit, in terms of another
- Thus, to make one motorcycle, you have to sacrifice 3 units of rice
- But in another country, you might only have to sacrifice 2 units

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Demand Diagonals

- We now also introduce demand diagonals
- This simplifies demand, because our Comparative Models, like our Absolute ones are Supply-Side Focused
- This shows demand for 2 products at once
- It shows a blend of demand for both, an average
- It illustrates that you have a certain mix of preferences as income increases
- If income is 0, then 0 units of both item are demanded
- Then, we assume that demand will proceed in a fixed proportion
- E.g., as you gain 3 income, you will demand 1 rice and 2 motorcycles
- This is assumed to be the same, again, for both countries

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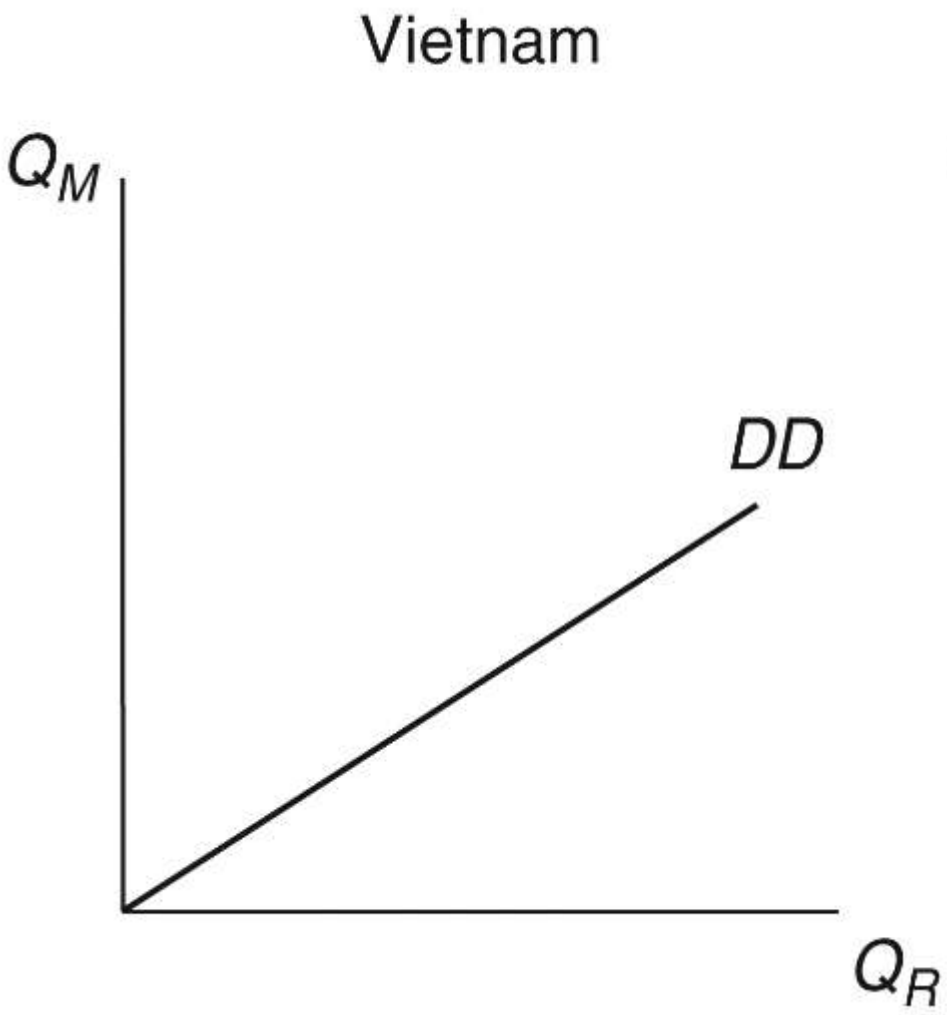

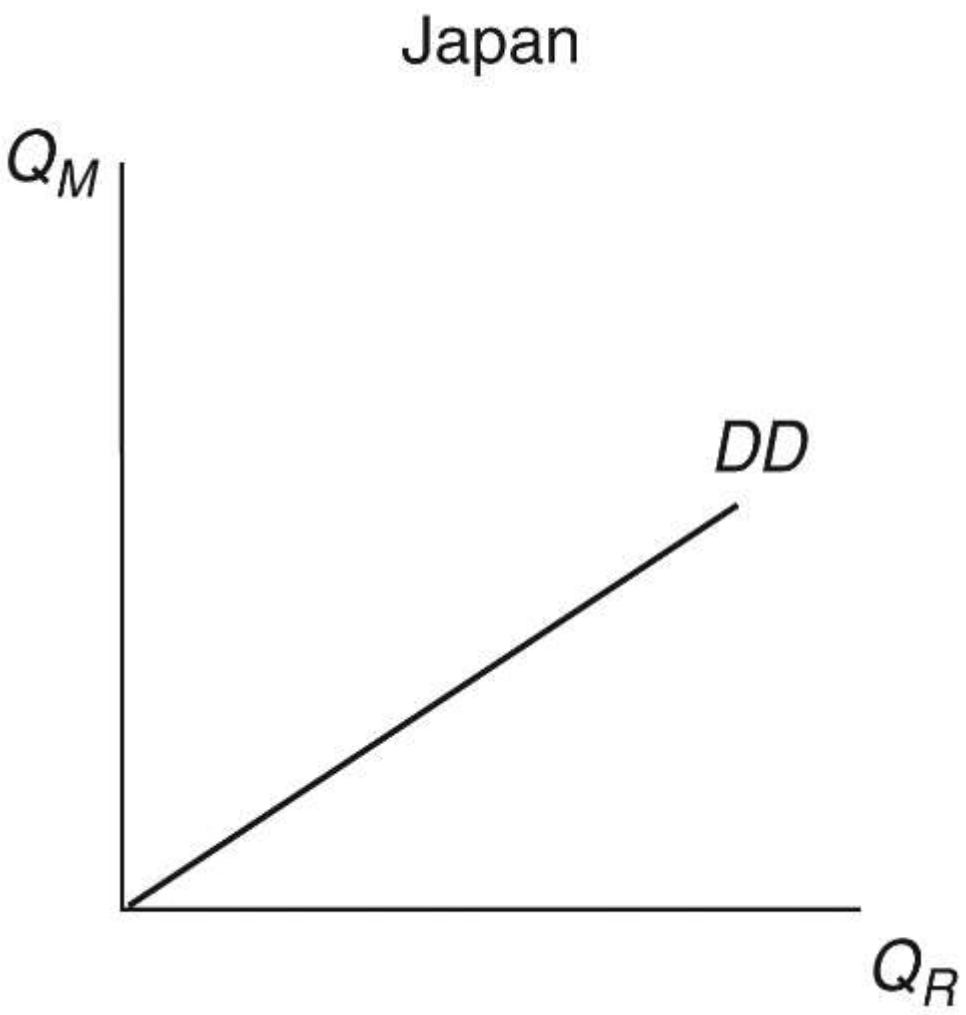

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Production Possibility Frontiers

- Remember the **slope** of your PPF
- Shows how many of one good you have to give up, to get another
- If your tradeoff is 1:1, then you will have a PPF with a slope of -1
- For every 1 unit you give up (Y goes down), you gain one X (x goes up)
- Since you have one negative and one positive, the slope of a PPF is always negative
- Note you can have curved PPFs,
- But the straight line is a simplified one, which assumes a constant relationship between the two products

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PPFs

- The labels look scary. They are unnecessarily so.
- In fact they only work if “lower technology” is assigned a higher number (so the author screwed up, he divided when he should have multiplied labour and tech)
- We’re assuming that there is only 1 input to make both rice and motorcycles: labor
- We’ll assume that tech levels are different in each country (a = technology)
- To determine the total quantity you can make in your economy, you multiply the labor force (we’re saying 10), by the tech level for each thing in that country – i.e. how efficient they are at it
- Things they are good at, they have a higher multiplier, things they are bad at, have a lower multiplier
- Remember slope = rise/run (rise going down, plus run going up, in our cases)

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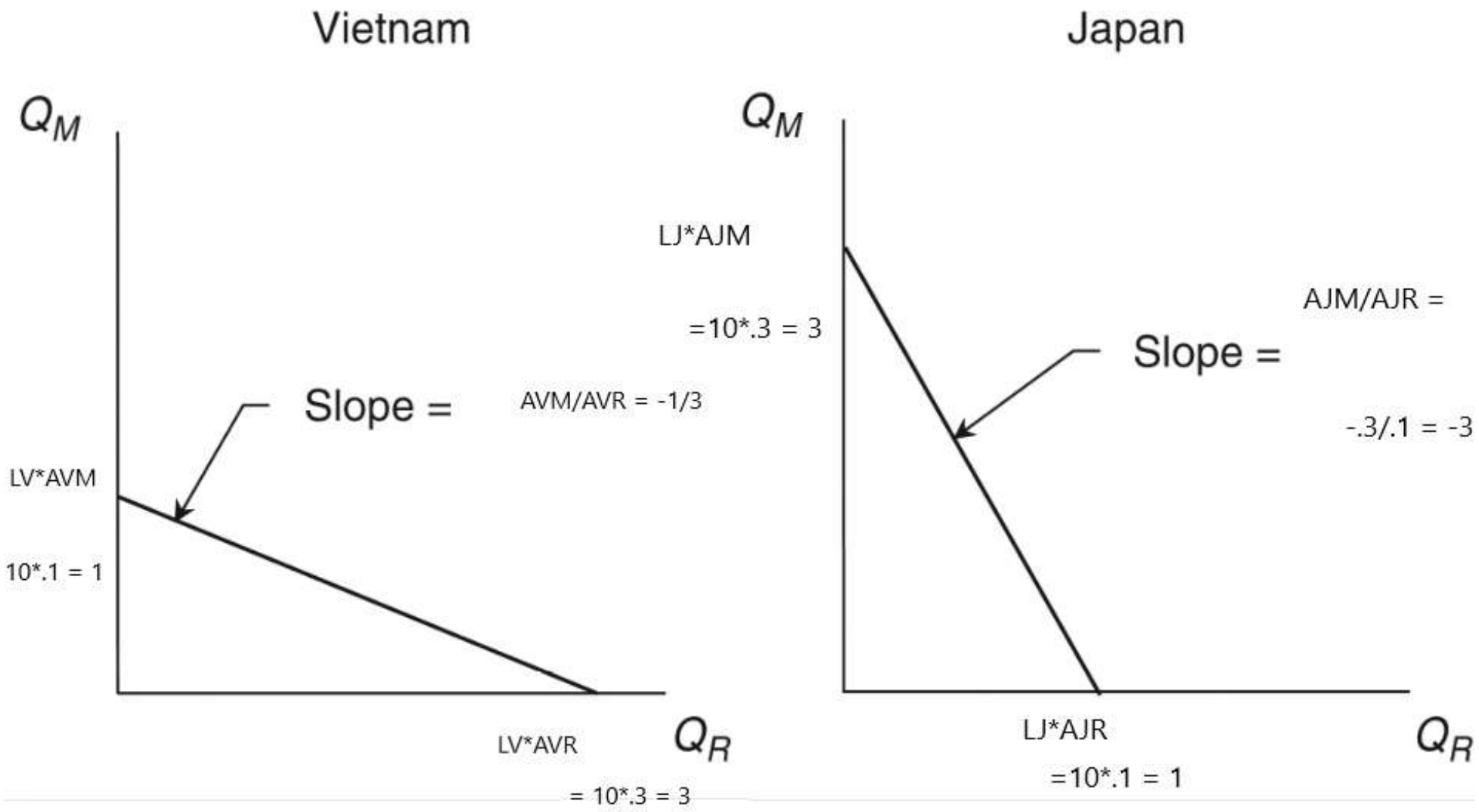

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Comparative Advantage

- You will notice the main difference in Figure 3.2, is that Vietnam gets less motorcycles for giving up 1 unit of rice than Japan
- Japan gains more motorcycles by giving up one unit of rice
- This measures products in terms of **Opportunity Cost**
- Comparing OC means that Japan has a **Comparative Advantage** in Motorcycles
- And Vietnam has a comparative advantage in Rice
- This is the **Ricardian Model** of trade
- It measures goods in terms of opportunity cost, and it assumes that *technology* (a) is the main factor differentiating the two (Japan has more technology for building motorcycles, so it's efficient at it)

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Relative Prices

- Now, we assume that the slope of the PPF shows the cost of one thing relative to another.
- In the above graph, the price of Rice in Vietnam is only 1/3 the price of motorcycles
- So in Vietnam, a motorcycle costs 3, if a rice costs 1
- The slope PR/PM = -1/3
- In Japan, rice costs 3, and a motorcycle costs 1
- The slope PR/PM = -3
- In both countries the opportunity cost is 3 of 1 for the other

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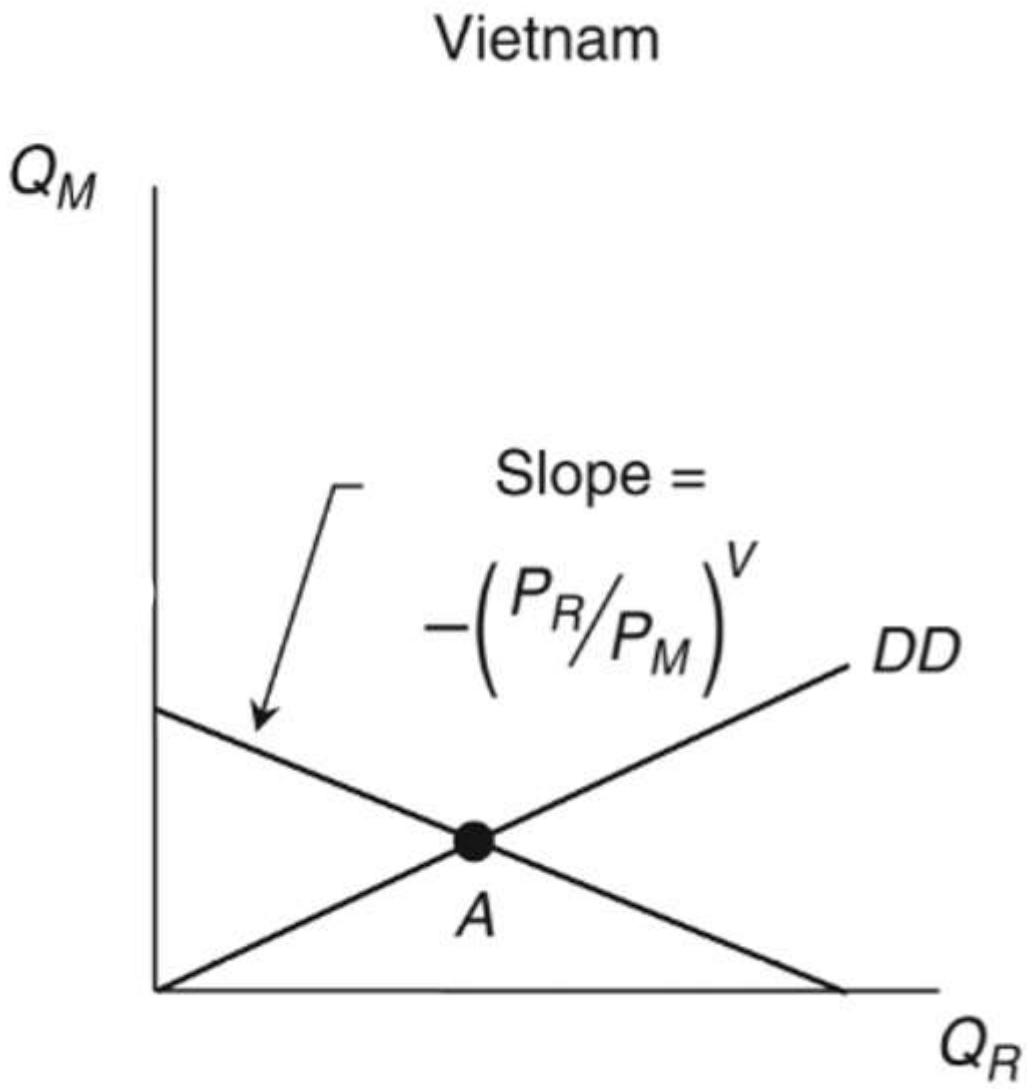

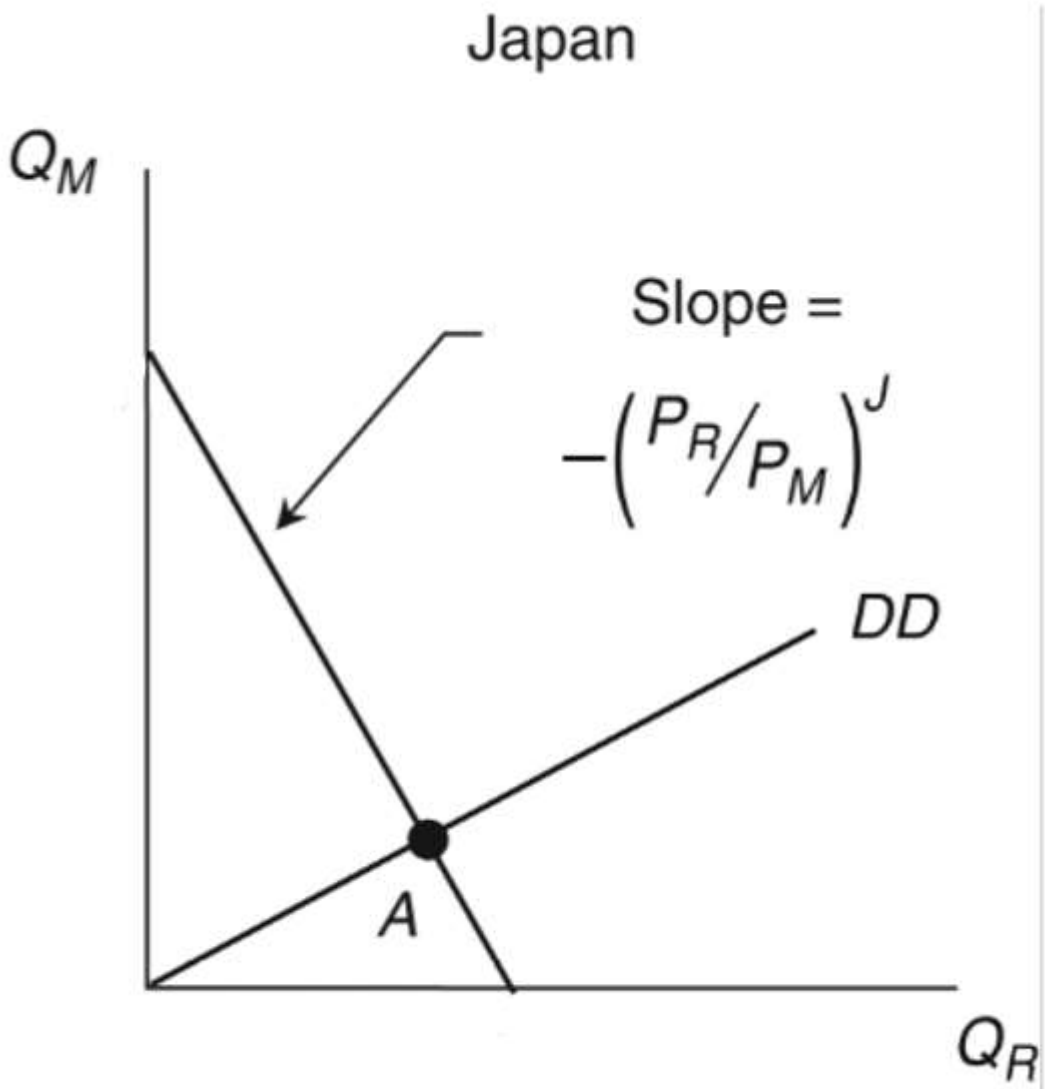

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Adding Demand Diagonals

- Now we add demand diagonals
- This shows the ratio that countries want to consume rice and motorcycles as their income increases; we're saying it's about a 2/1 ratio rice/motorcycles
- DDs are the same for both countries
- The slope of the PPF is now called "price" which is basically the inverse of the slope. In Vietnam, rice is 1/3 the price of a motorcycle
- And in Japan, a motorcycle is 1/3 the price of rice (because there are 3x more motorcycles in the country than there is rice, roughly)

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Opening up to World Trade

- Now, we see that the slopes are roughly 1/3 and 3/1 in each country
- But, in the world, since there are some countries that can produce 3x as much rice, and some countries that can produce 3x as much rice
- Then, when you average it all out, then the slope becomes closer to -1, i.e. the production is roughly equal
- This means that the slope of the price ratio comes closer to -1
- And when you graph this on demand diagonals, you can see that if a country maximizes the thing it’s best at (because it has high tech in that sector, though irl it’s tech vs land/labor)
- Then each country can trade excess motorcycles/rice, and consume both more motorcycles, and more rice (Point C)

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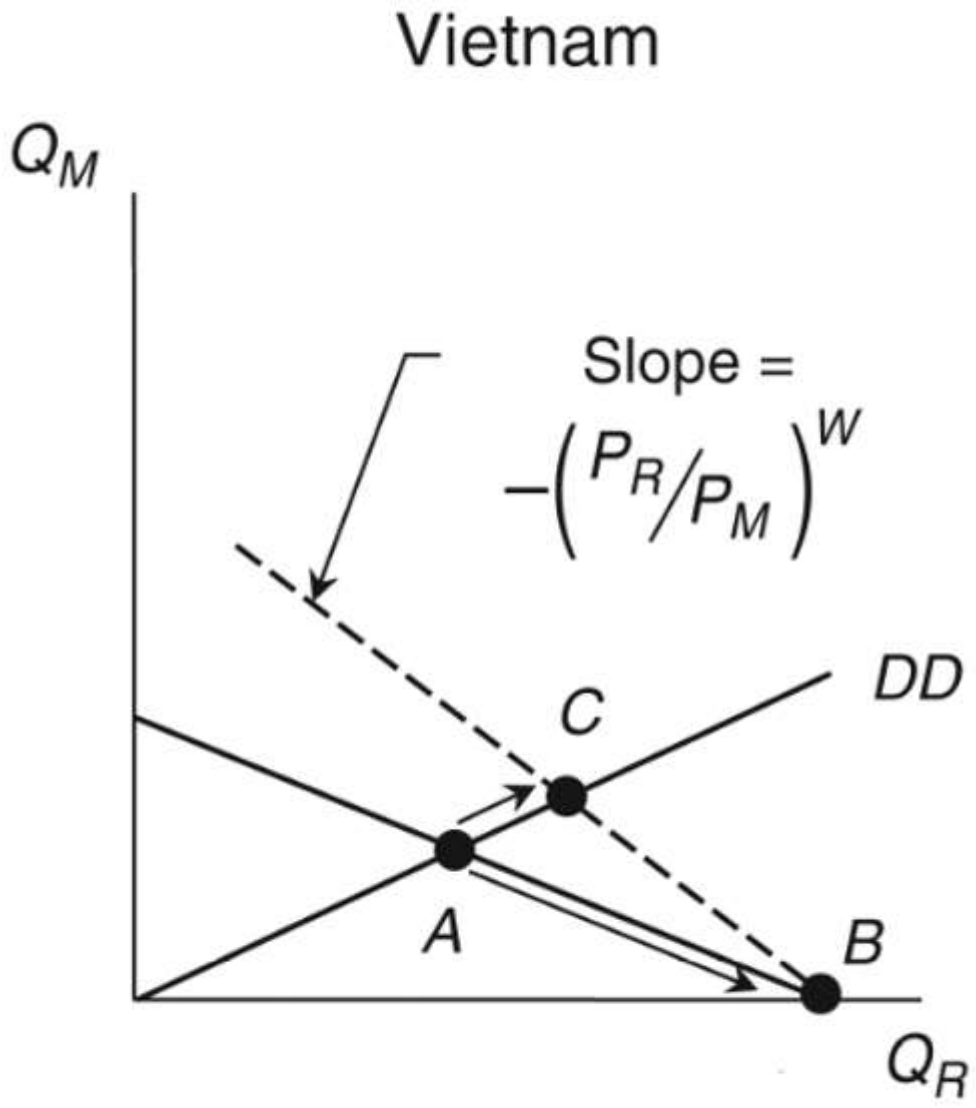

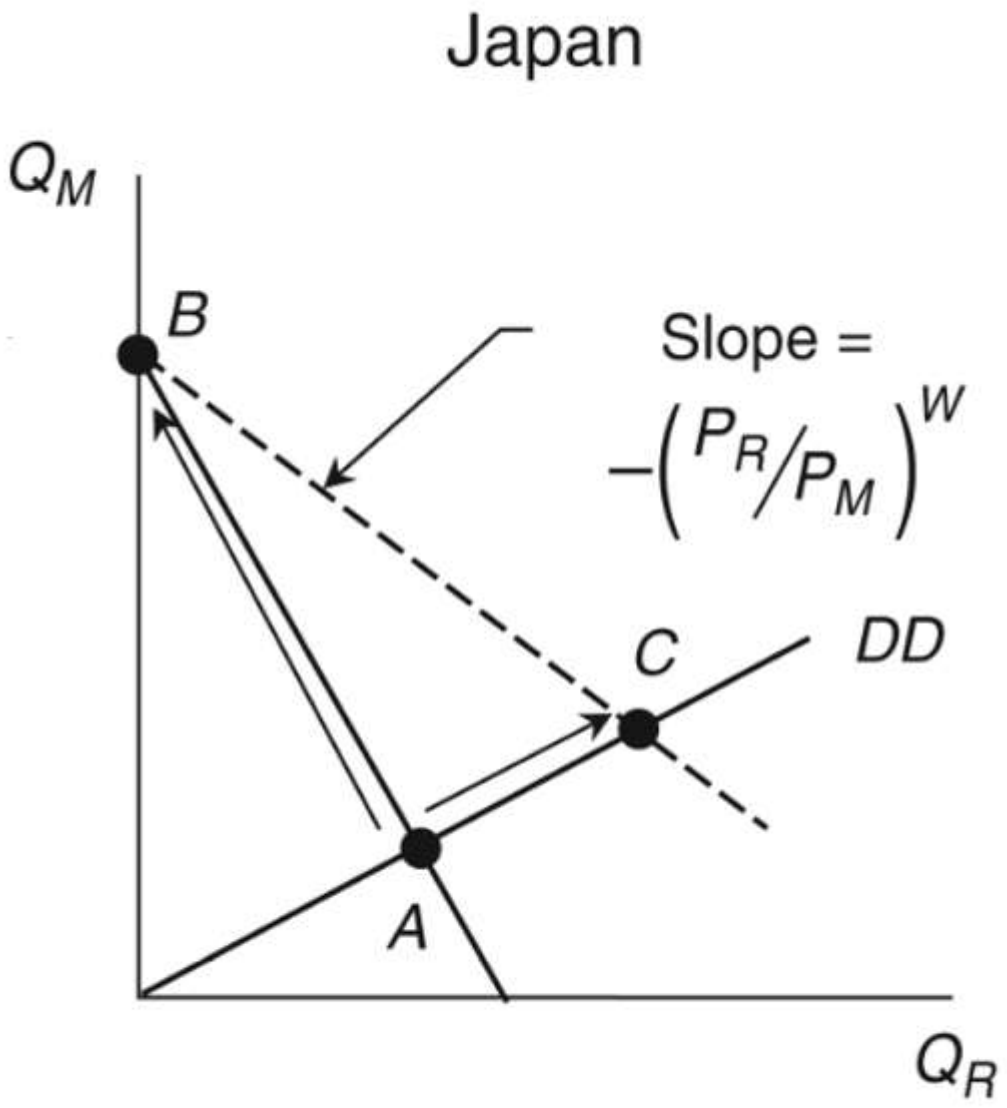

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Adding World Trade

- When countries produce at B
- It means that they completely specialize in a single product
- They put all their resources into the thing they have comparative advantage in
- Then, when both countries do this, they produce things more cheaply, than either country could do if it had to produce both products, as in Autarky
- When they produce at B, then the tradeoff slope is the line with C, and their new consumption, where WS meets DD, is at C – note this is further right and up than A, meaning there is a **gain from trade** (arrow)

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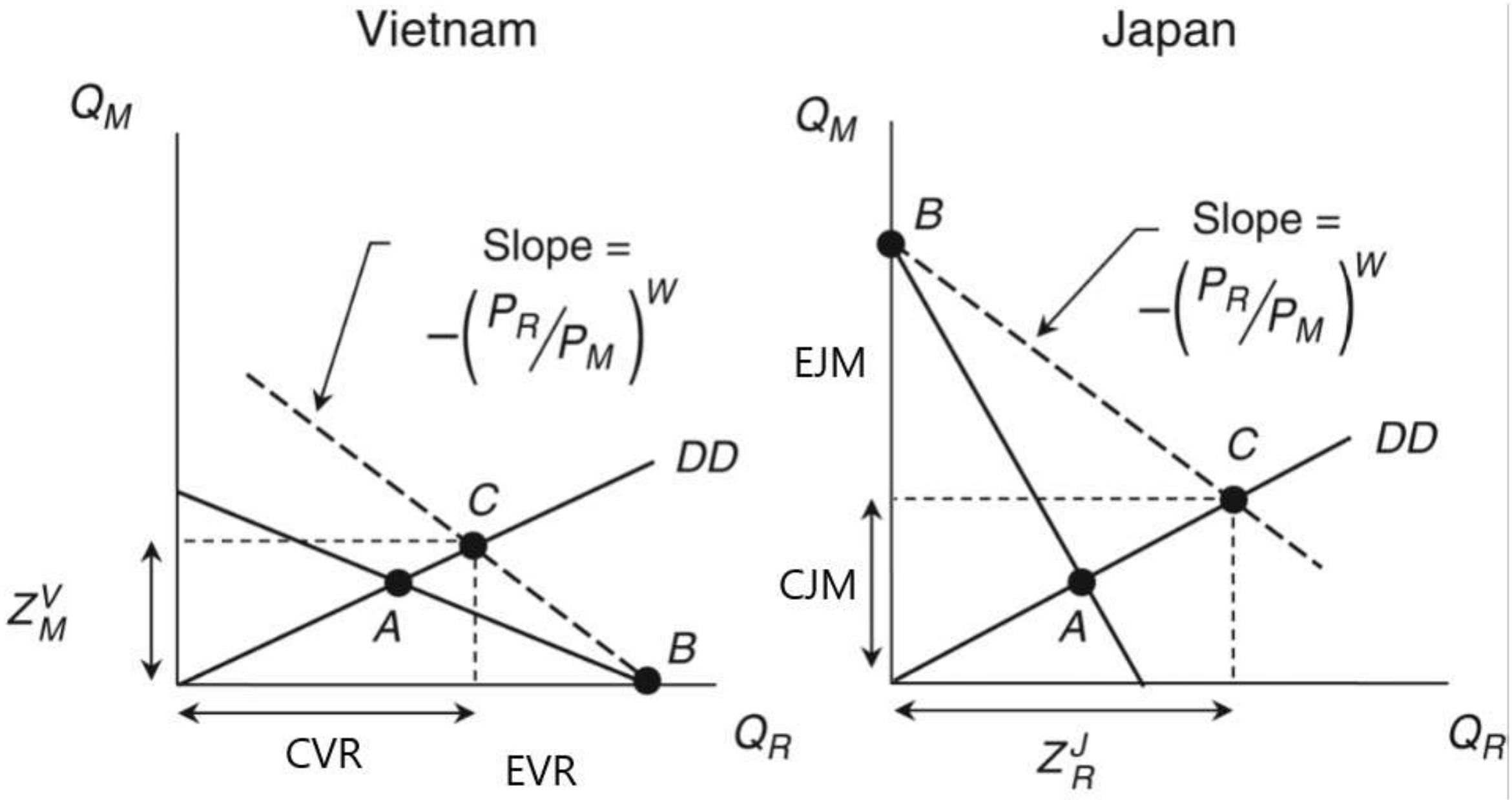

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Measuring Imports and Exports

- The final step is to measure Imports (Z) and Exports (E)
- Note that for Vietnam, it is producing only rice
- It is consuming at C
- This means that in this simplified model, all motorcycles are imported (Z)
- And though rice is produced until point B (remember distance from the XY intercept to B = the Q rice created)
- The excess not consumed is exported. The demand diagonal says that Vietnam will consume to point C, and (I think the model is wrong here), they will export the between C and B on the X axis

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Measuring Imports and Exports

- Reinert has once again goofed up this graph though (and we know because he corrects this a few pages later in the HO model);
- Because he has exports at the level that countries are consuming
- When obviously, they would be exporting the amount that they were not consuming
- They are consuming at C; therefore, it stands to reason that if they are producing that product, then they would consume C amount of that, and then they would export the rest
- (Note that in this way, the amount exported does not equal the amount consumed in the other country, but no matter)

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The HO Model of Comparative Advantage

- So far we have been looking at Chapter 4: the Ricardian Model of Comparative Advantage
- Reintert says that this model is based on differences in technology – i.e., Vietnam can produce rice more cheaply because it has better rice technology
- And though this is itself an oversimplification, we might already be guessing that Vietnam could, at least a while ago, produce rice more cheaply because it has more land, and more cheap labour
- So it’s not necessarily a technological advantage in rice production, but an abundance of ***factor resources***

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The Heckscher-Ohlin Model

- The HO model does pretty much the same thing as the Ricardian Model, only this time, it explicitly says that the differences comparative advantage between two countries might be due to the abundance of factor resources
- Thus, we assume two countries
- We assume two products
- In this case, we say that one has abundant labour, and one has abundant capital
- Abundant labour means wages are cheap
- Thus they are good at labour-intensive production
- While a country with high capital, will have expensive labour, but it has a comparative advantage in high-tech production

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HO Model

- To illustrate HO,
- We once again use DDs
- We also use PPFs
- Only this time, Reinert chose to represent them as curves
- (Curved PPFs are more realistic, because they show that near the edges of production, it's very difficult to turn every last resource into motor-cycle making: i.e., some things are very well suited to rice production, and not motorcycle making. So the last few units have a steeper OC then the middle units. This is represented by a curved PPF, with a changing slope – representing a changing tradeoff at various points in the production process)

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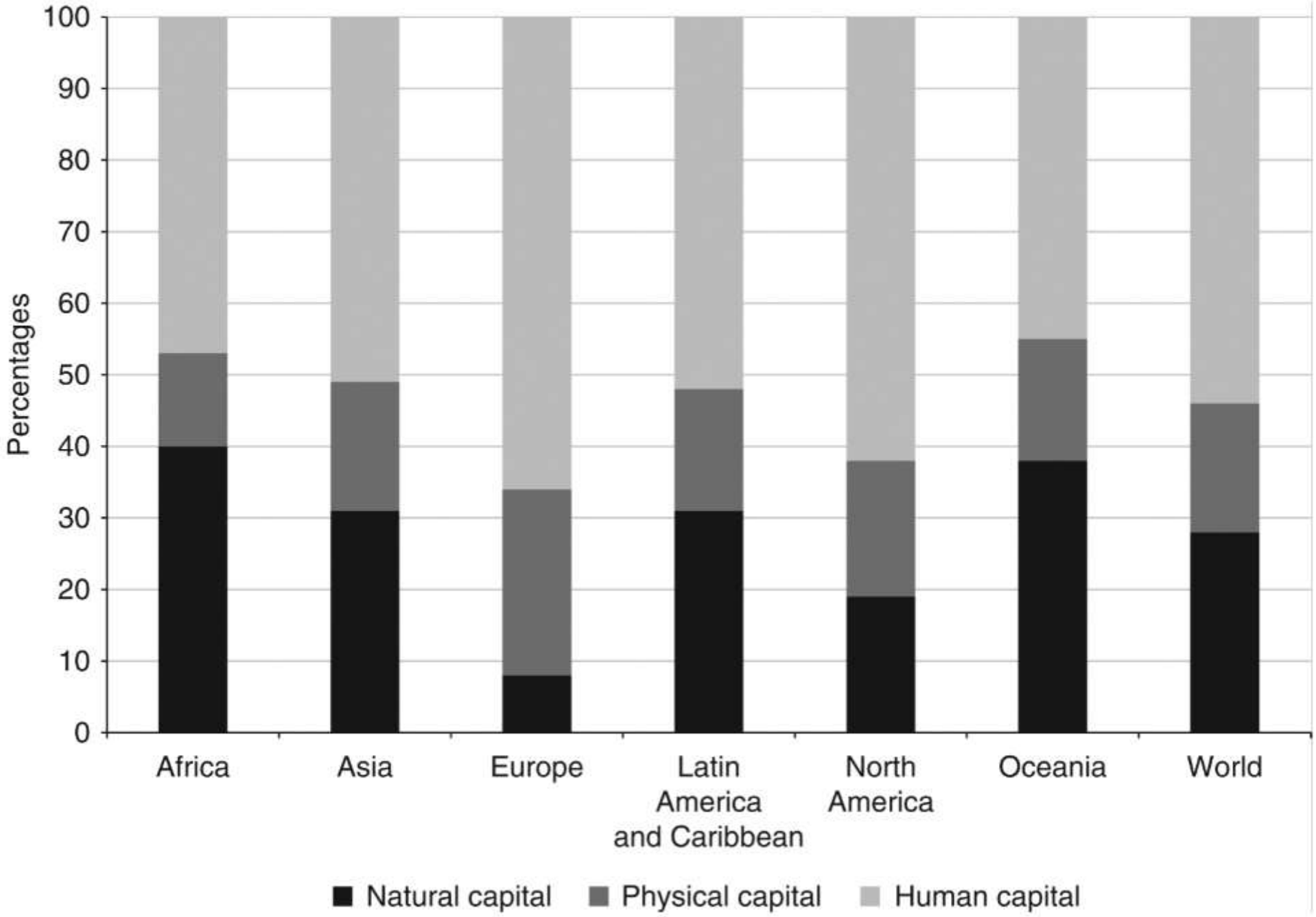

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Resource Distribution

- This shows that in each region of the world, there is more or less
- Natural Resources
- Physical Capital (i.e. machinery)
- And Human Capital (i.e. no. people x education level)
- And the different proportions of these things, mean that different parts of the world will have comparative advantages in different products
- I.e. a country with abundant land, but little physical capital, will be relatively good at agriculture, but a country with no land and a lot of physical capital might be relatively good at high tech manufacturing

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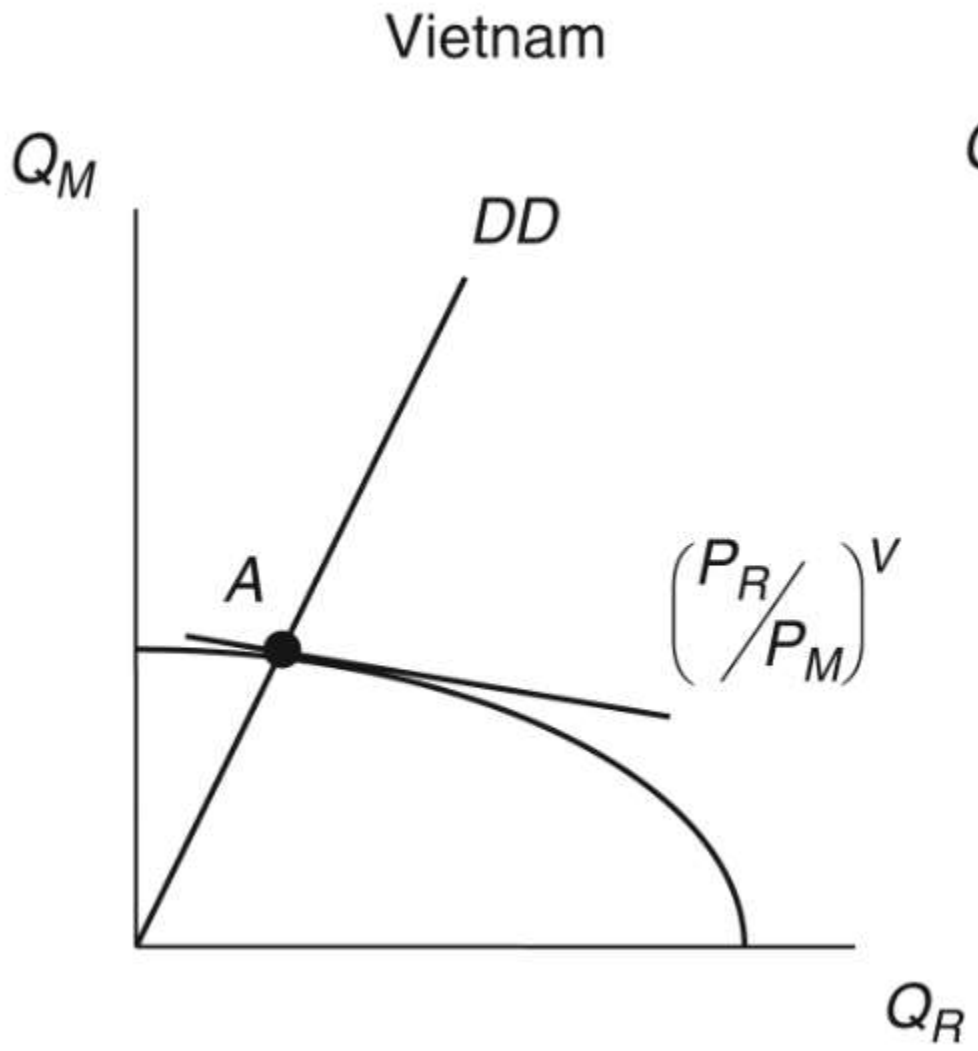

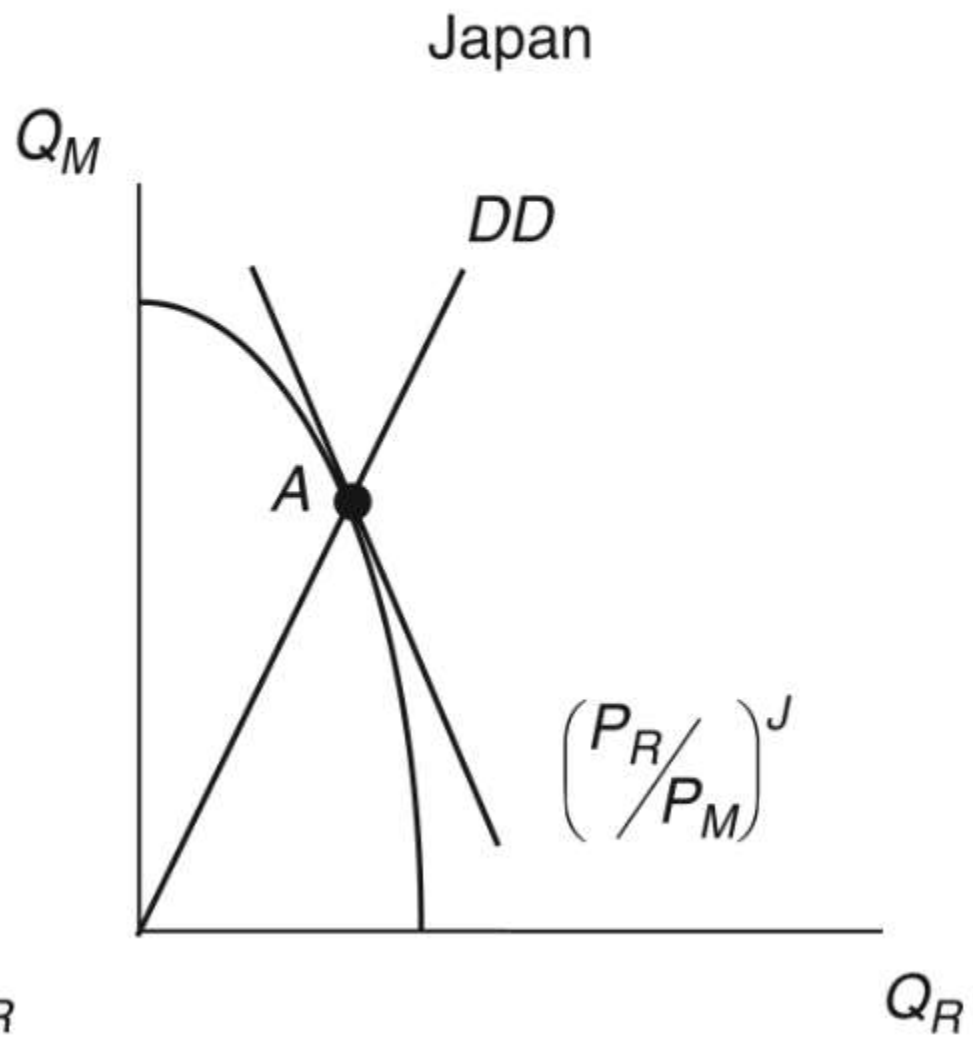

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HO Model

- In this model, we see that the relative price of 2 products changes along the curved PPF
- The ratio of the two prices, is = the slope of the line at that point on the PPF
- The slope here, shows how much rice you have to give up to get a unit of motorcycle; note on the left, you have to give up a lot of rice, to get very few additional motorcycles
- Note the slope is always changing, but what interests us is where Supply (PPF) meets demand (DD)
- Then, once again, you open up to trade, and the world price is the average of the two slopes
- Therefore, consumption can be more balanced between the two things

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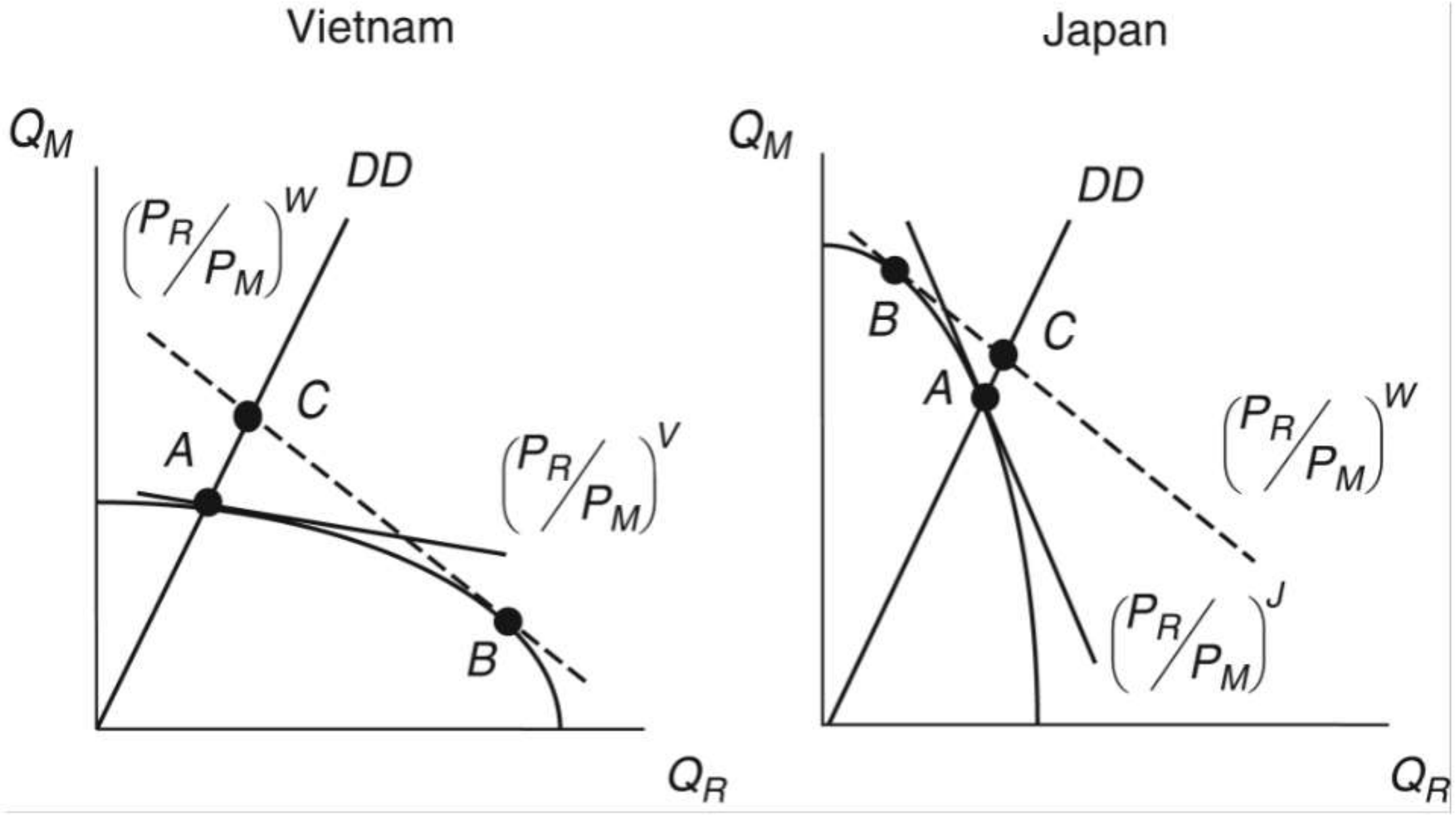

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HO Model

- As with the Ricardian Model, if countries produce near the edges of their PPF,
- And trade with one another after specializing in the thing in which factor endowments give them comparative advantage
- Then, they export based on production of B
- And they gain profits above what they would do at Autarky
- They can then consume at point C, which is beyond what they could afford to do at point A
- So we see how specialization, comparative advantage, and trade, creates more wealth, which enables more consumption
- But in this case with a curved PPF, countries produce some of each thing rather than total specialization as in the previous model

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HO Model

- Now, one might argue that overconsumption is a bad thing
- And like most reasonable people I would like to protect natural environments, reduce greenhouse emissions, etc.
- But, one also has to remember that for the bulk of the world's people, their consumption levels are measured in mere dollars per day
- A tiny increase in their ability to consume, often means the difference between starvation or not
- Or, at a higher level, between gaining an education, or not
- Gaining medical care, or not
- So we have to be careful from our privileged positions, not to judge the world's habits by our own standards, too quickly

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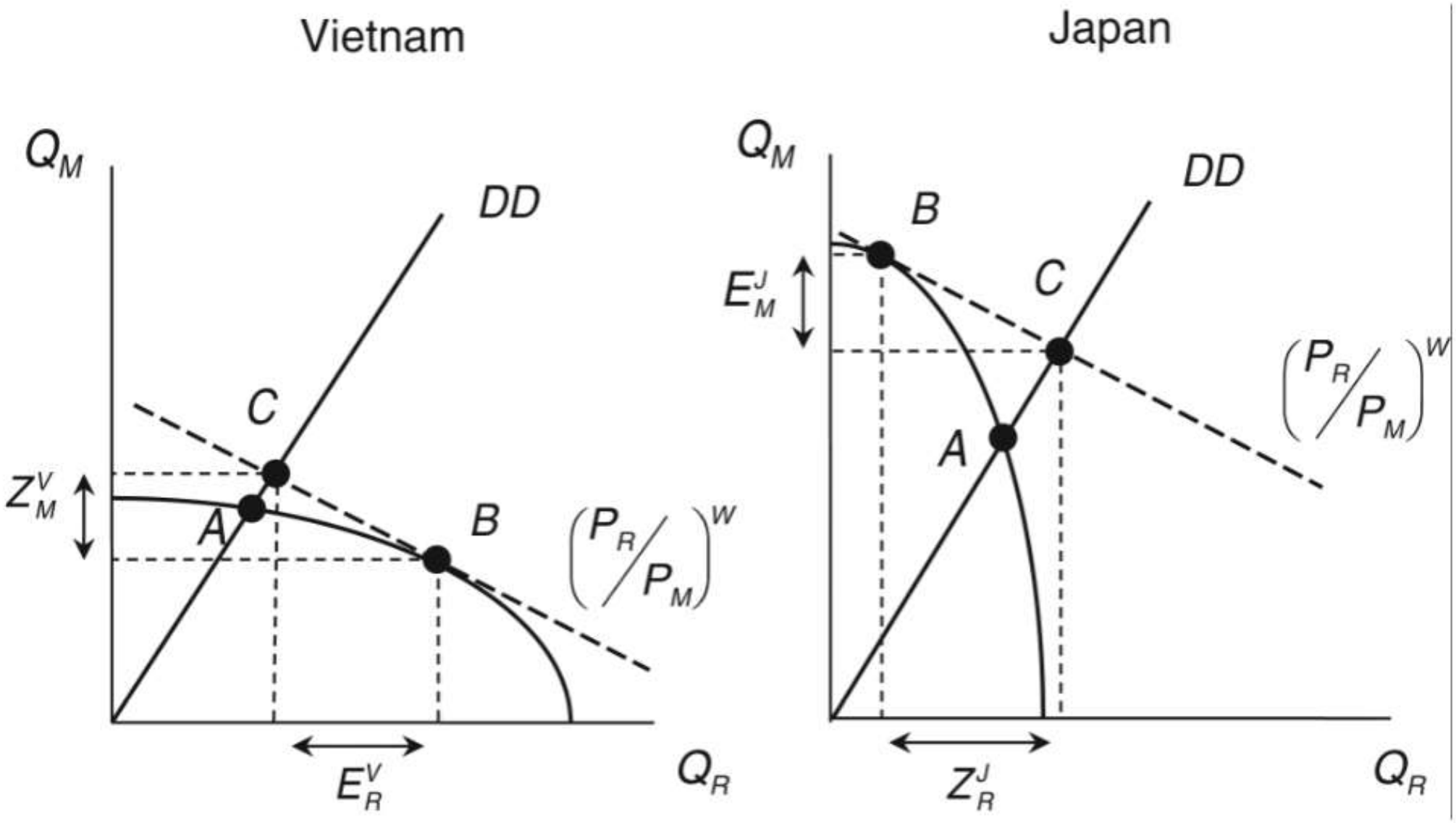

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HO Model

- We can then measure Imports (Z)
- And Exports, E, which is equal to the difference between production B and consumption C.
- Here, we can see that Reinert caught himself and corrected his graph from the Ricardian Model (xD)
- I.e. exports are properly listed as above the consumption line
- If you produce more than you consume, then you export
- And if you consume more than you produce, then you import

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FIN

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